Outlook

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The servicing economics on participated loans need a check

Hi,

This came up in a working session and nobody had the same definition.

Treasury and Lending need to understand whether originated, serviced and participated loans behave differently after booking.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: risk share and customer behaviour are being confused; participated loans have different payment timing; or servicing-bank arrangements create operational exceptions.

The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure. Different teams have produced different answers from the same period, so population and timing rules need to be visible. We looked at a version of this before. For the January 2020 review, please show what changed and whether the earlier conclusion still holds.

What we need to decide is whether participation terms, servicing controls or reporting need to change. Please bring a model-ready table, data dictionary and an honest baseline, including a few cases we can trace from source to conclusion.

The available evidence is loan participation and servicing records available by the request date; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments. The files support servicing and behavioural analysis, not external-bank accounting or legal settlement confirmation.

Thank you